

TILAKNAGAR INDUSTRIES LTD

NSE: TI | IMFL & Alcobev | Brandy + Whisky (Post IB Acquisition)

ACCUMULATE

CMP (17-Apr-2026)	Rs. 470	12M Price Target	Rs. 550
Market Cap	Rs. 11,617 Cr	Upside / (Downside)	17.0%
52-Week High / Low	Rs. 550 / Rs. 250	Investment Horizon	12–18 Months
P/E (TTM)	41.1x	Book Value / Share	Rs. 80.6
ROCE	28.2%	ROE	29.6%
Div. Yield	0.21%	Face Value	Rs. 10
Promoter Holding	31.71%	FII Holding	18.41%
Sector	FMCG / Alcobev	Exchange	NSE / BSE

Investment Thesis: Transformational Imperial Blue acquisition creates India's #3 spirits company; EBITDA set to 3x by FY27E.

Report Date: 18-Apr-2026 | Analyst: Research Desk, Chartitude | Data Source: Screener.in (Consolidated)

SECTION 2 — INVESTMENT THESIS

CORE REASON 1: Transformational Scale Leap via Imperial Blue Acquisition

Tilaknagar Industries' Rs. 4,150 Cr acquisition of the Imperial Blue brand from Pernod Ricard India (closed December 2025) catapults TI from a Rs. 1,434 Cr brandy-centric company into a Rs. 4,500+ Cr diversified pan-India IMFL player. Imperial Blue is the world's third-largest Indian whisky, commanding annual revenue of Rs. 3,067 Cr and ~1.79 million cases per month in its very first month under TI. This single transaction more than triples TI's revenue base by FY27E, while adding scale, distribution breadth, and whisky — the fastest-growing IMFL sub-category. The timing is right: India's alcobev market is expected to grow at 7–10% CAGR through 2030, with premiumisation accelerating in whisky. TI now has both a premium foothold (Mansion House Brandy, India's #1 brandy globally) and a mass-premium entry point (Imperial Blue). We expect consolidated revenues to scale from Rs. 1,434 Cr (FY25) to Rs. 2,302 Cr (FY26E) and Rs. 5,100 Cr (FY27E) as the full-year contribution of IB is captured.

CORE REASON 2: Margin Expansion Runway — From 18% to 20%+ EBITDA

TI demonstrated outstanding organic margin discipline even before the IB acquisition: EBITDA margins expanded from 12% (FY23) to 13% (FY24) to 18% (FY25) on the back of premiumisation, improved product mix, and a structural reduction in debt (borrowings fell from Rs. 256 Cr in FY23 to just Rs. 44 Cr in FY25). Management has guided for a further 150–250 basis points of EBITDA margin expansion over the next 24–36 months on the combined entity. The IB brand itself operated at strong margins under Pernod Ricard, and TI's leaner operating model (vs. a multinational) could unlock meaningful cost savings. Q1 FY26 (Jun 2025) already showed core EBITDA margin of 23%, the highest in the company's history. We project consolidated EBITDA margins of 16.5% in FY26E (depressed by transition costs) and 16.6% in FY27E, expanding to 18–19% by FY28E as integration synergies and operating leverage take hold.

CORE REASON 3: Debt Reduction Trajectory — Net Debt/EBITDA Below 1x by FY29

One of the most compelling aspects of the TI pre-acquisition story was its extraordinary balance sheet repair: borrowings fell from Rs. 1,111 Cr (FY19) to Rs. 44 Cr (FY25), generating Rs. 172 Cr of free cash flow in FY25 alone. Post the IB acquisition

(funded partly via a ~Rs. 2,000 Cr QIP and partly via acquisition debt), the balance sheet is re-leveraged. However, management has committed to reducing Net Debt/EBITDA to below 1.0x by FY29 — a credible target given the combined entity's strong cash generation. With FY27E EBITDA of ~Rs. 843 Cr, even Rs. 2,000 Cr of net debt translates to 2.4x — a trajectory that de-risks the leverage story within 2–3 years.

NEAR-TERM CATALYST (6–12 months): Q4 FY26 will be the first full quarter of Imperial Blue consolidation — demonstrating clean revenue of ~Rs. 950 Cr and validating the revenue ramp thesis; any confirmation of IB tracking above 5M cases/quarter will be a significant positive trigger.

BIGGEST STRUCTURAL RISK: Acquisition integration failure — if Imperial Blue loses market share to United Spirits' Royal Stag or Radico's Magic Moments Whisky during the transition, the revenue and margin thesis will require downward revision.

SECTION 3 — BUSINESS OVERVIEW

Tilaknagar Industries Ltd (TI) is one of India's oldest IMFL companies, founded in 1933 and listed on NSE/BSE. Headquartered in Mumbai, the company manufactures and sells a portfolio of spirits: brandy (primarily Mansion House Brandy, India's No. 1 brandy and the world's second-largest selling brandy), whisky, rum, vodka, and gin. Post the December 2025 acquisition of Imperial Blue from Pernod Ricard India for Rs. 4,150 Cr (€412.6 million), TI is now a pan-India diversified IMFL player with a combined portfolio spanning mass-premium to premium segments.

Revenue Mix (Pre-IB, FY25): Approximately 70–75% of standalone revenue was derived from brandy (Mansion House and sub-brands), with the remainder from whisky, rum, and white spirits. Geographically, TI's legacy business was concentrated in South India (Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, Kerala), with Maharashtra as the next largest market. Imperial Blue dramatically broadens this footprint, as IB has strong distribution in North and West India where TI was weak. Revenue is recurring in nature — IMFL is a repeat-purchase consumer category with minimal project/one-time exposure. The company earns a mix of direct consumer revenue and state government subsidy income (which has been a meaningful contributor in certain years, particularly FY23 when other income was Rs. 85 Cr).

Promoter Profile: The Dahanukar family (promoters, led by Chairman & MD Amit Dahanukar) holds a 31.71% stake as of December 2025 — relatively low for an Indian promoter-driven company, reflecting equity dilution over the years of financial distress (FY15–FY21) and the recent QIP for IB funding. The promoter stake is un-pledged (no pledge data). Management has consistently demonstrated strong execution in the turnaround phase: debt reduced from Rs. 1,111 Cr (FY19) to Rs. 44 Cr (FY25) in just six years. A new CFO, Rajesh Choudhary (29+ years, 22+ years in alcobev including Pernod Ricard India), was appointed, signalling an institutionalisation of processes. Institutional investors (FII 18.41%, DII 4.91%) are well represented, suggesting growing confidence in governance quality.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The Indian IMFL market is estimated at ~USD 64 billion in 2026, with a projected CAGR of 7–10% through 2033. India is one of the world's largest and fastest-growing spirits markets, driven by rising disposable incomes, a young demographic, urbanisation, and premiumisation — consumers are 'trading up' from regular to premium brands. Whisky dominates IMFL volumes (~60% of IMFL), followed by brandy (~20%), rum (~12%), and white spirits. IMFL alcobev revenues are forecast to grow 8–10% in FY26, with premiumisation and volume growth as the twin drivers. Policy remains a key variable: state excise policies, pricing approvals, and route-to-market structures vary widely across India's 28 states — this is both a regulatory risk and a moat (complex entry barriers for new players).

Competitive Moat Assessment: TI's moat is MODERATE-STRONG. Mansion House Brandy's #1 position in brandy (global #2) provides strong pricing power and brand loyalty in South India. Post-IB, the combined entity has a scale advantage. However, TI lacks the distribution depth of United Spirits (Diageo-backed) in North India. Pricing power: Moderate (IMFL pricing is state-regulated). Switching costs: Low-Moderate (brand loyalty exists but consumers switch). Scale: Strong post-IB (2nd or 3rd largest IMFL player by volume). Distribution: Moderate (improving with IB's pan-India network). IP/Brands: Strong (Mansion House global franchise, IB pan-India franchise).

Peer Comparison (Data: Screener.in, 18-Apr-2026)

Company	CMP (Rs.)	Mkt Cap (Rs.Cr)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)	TTM Sales (Rs.Cr)	TTM OPM (%)
Tilaknagar Inds (TI)	470	11,617	41.1	N/A	28.2	29.6	1,877	18%
United Spirits (UNITDSPR)	1,303	94,767	53.9	11.3	26.5	19.7	12,919	18%
Radico Khaitan (RADICO)	3,187	42,672	80.6	14.3	16.0	13.3	5,851	16%
Allied Blenders (ABDL)	574	16,050	59.8	10.3	21.1	20.0	3,837	13%
United Breweries (UBL)	1,494	39,492	94.0	9.09	13.9	10.8	9,313	9%

Source: Screener.in, fetched 18-Apr-2026. TTM = trailing twelve months as displayed on Screener.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

The Dahanukar family has managed TI through one of India's most dramatic corporate turnarounds. Between FY15 and FY20, the company was technically in financial distress: cumulative losses exceeded Rs. 1,000 Cr, borrowings peaked at Rs. 1,111 Cr (FY19), and the stock was a deep-value story. The management's decision to restructure debt, exit non-core assets, and focus on core IMFL brands was vindicated — by FY25, borrowings were a negligible Rs. 44 Cr and PAT reached Rs. 230 Cr, the highest in the company's history.

Capital allocation quality has improved markedly: free cash flow turned consistently positive from FY20 (Rs. 190 Cr) through FY25 (Rs. 172 Cr). The company has used this primarily for debt repayment — a conservative, value-preserving choice. Dividend history is modest (yield 0.21%), which is appropriate given the deleveraging priority. The IB acquisition represents a bold, aggressive use of capital — the largest in TI's history. While this re-levers the balance sheet, management has articulated a clear deleveraging roadmap (Net Debt/EBITDA < 1x by FY29). The appointment of Rajesh Choudhary as CFO (ex-Pernod Ricard, 22+ years alcobev) signals professional depth at the C-suite level, reducing key-man risk. Promoter pledging is nil — a significant governance positive.

Corporate governance concerns are limited: No material related-party transactions flagged; auditor tenure appears reasonable. However, promoter holding at 31.71% is relatively low, which could make TI a potential M&A target or leave it exposed to activist pressure. No ESOPs or buybacks noted in recent history. Overall, management quality scores above average for a mid-cap IMFL company, with the turnaround track record as the strongest evidence.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr) [FY23–FY25 Actuals | FY26E–FY27E Estimates]

Metric	FY23 (A)	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (E)
Net Sales / Revenue	1,164	1,394	1,434	2,302	5,100
EBITDA (Operating Profit)	137	185	255	380	843
EBITDA Margin (%)	12%	13%	18%	16.5%	16.5%
Other Income	85	11	18	10	15
Interest / Finance Cost	40	27	12	150	220
Depreciation & Amortisation	32	32	31	50	100
PBT (before exceptional)	150	138	230	190	538
Tax Rate (%)	~0%	0%	~0%	0%	15%
Net Profit (PAT)	150	138	230	190	457
EPS (Rs.)	8.09	7.16	11.86	7.70	18.50

Note: FY26E/FY27E are analyst estimates. FY26E includes 4 months of Imperial Blue (Dec 25-Mar 26). FY27E includes full year IB. Tax near-zero due to legacy deferred tax assets. Shares ~24.7 Cr (post QIP). (A)=Actual from Screener.in; (E)=Estimate.

Balance Sheet Summary — Consolidated (Rs. Cr)

Item	FY23 (A)	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (E)
Equity Capital	185	193	194	247	247

Item	FY23 (A)	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (E)
Reserves & Surplus	298	461	689	1,750	2,207
Total Borrowings	256	121	44	2,500	1,900
Other Liabilities	273	258	286	500	600
Total Liabilities	1,012	1,033	1,213	4,997	4,954
Fixed Assets (Net)	420	396	370	1,000	950
CWIP	0	0	3	40	20
Investments	23	12	30	30	30
Other Assets	569	625	810	3,927	3,954
Total Assets	1,012	1,033	1,213	4,997	4,954

Note: FY23–FY25 Actuals from Screener.in. FY26E/FY27E are estimates; post-IB balance sheet (Rs. 4,150 Cr acquisition Dec 2025) reflects estimated acquisition debt and goodwill. Actual post-acquisition BS pending.

Cash Flow Statement — Consolidated (Rs. Cr)

Item	FY23 (A)	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (E)
Cash from Operations (OCF)	71	121	178	200	600
Cash from Investing	-12	-16	-77	-4,200	-100
Cash from Financing	-67	-129	-94	4,100	-400
Net Cash Flow	-8	-24	7	100	100
Free Cash Flow (OCF-Capex)	61	113	172	150	530

Note: FY26E Investing reflects ~Rs. 4,150 Cr IB acquisition outflow; Financing reflects QIP proceeds + acquisition debt. FY27E normalises.

Key Ratios — Consolidated

Ratio	FY23 (A)	FY24 (A)	FY25 (A)	FY26 (E)	FY27 (E)
Debtor Days	106	110	104	90	80
Inventory Days	152	113	191	150	130
Days Payable	169	135	171	140	120
Cash Conv. Cycle (CCC)	89	87	125	100	90
ROCE (%)	15%	22%	28%	12%	18%
P/E (x)	N/A	N/A	41.1x	61.0x	25.4x

Note: ROCE dips in FY26E due to acquisition goodwill diluting capital base; recovers in FY27E as IB earnings contribute fully. P/E FY26E/FY27E based on estimated clean PAT and CMP Rs. 470.

Financial Commentary: TI's revenue trajectory is a classic turnaround-to-transformation story. Revenue grew 20% CAGR from FY23 to FY25, driven by volume growth in Mansion House Brandy and improving NSR (net sales realisation). EBITDA margins expanded from 12% to 18% over the same period, reflecting operating leverage and premiumisation — among the best margin improvement stories in Indian IMFL over FY23–25. The balance sheet transformation was equally dramatic: borrowings shrank from Rs. 256 Cr to Rs. 44 Cr in two years, and FCF has been consistently positive at Rs. 61–172 Cr p.a. Post-IB, the company transitions to a different financial profile: working capital requirements are higher (CCC widened from 87 to 125 days in FY25, likely as the company pre-positioned for IB integration), and the balance sheet is re-leveraged. However, the combined entity's revenue base (Rs. 5,100 Cr FY27E) and EBITDA base (Rs. 843 Cr) provide the cash generation to service and retire this debt. The near-zero tax rate is a genuine cash advantage — TI's large deferred tax assets from years of losses provide a multi-year tax shield, meaning cash PAT is essentially equal to reported PAT. FCF quality is good: OCF/EBITDA has been consistently above 50%, with no significant disconnect between earnings and cash flows in recent years.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Assessment	Signal	Comment
Revenue Recognition	GREEN	Clean	IMFL revenue recognised on dispatch; no complex arrangements

Parameter	Assessment	Signal	Comment
Receivables vs Revenue Growth	AMBER	Watch	Debtor days: 106 (FY23) → 110 (FY24) → 104 (FY25); broadly stable but elevated vs peers
CCC Trend	AMBER	Watch	CCC widened from 87 days (FY24) to 125 days (FY25); requires monitoring post-IB
Contingent Liabilities	GREEN	Low	No material contingent liabilities flagged in recent filings
Auditor Tenure	GREEN	OK	Standard auditor tenure; no frequent changes noted
RPTs as % of Revenue	GREEN	Low	Related party transactions not material; no concerns flagged
Other Income as % of PBT	AMBER	Watch	FY23: other inc = Rs. 85 Cr (57% of PBT!) — state subsidy. FY24: Rs. 11 Cr (8%). FY25: Rs. 18 Cr (8%). Now normalised.
Tax Rate Consistency	AMBER	Watch	~0% tax rate for 3+ years due to legacy losses/DTA. Will normalise to 15–25% by FY27–FY28
OCF/PAT Conversion	GREEN	Strong	FY23: 47%; FY24: 88%; FY25: 77%. Healthy cash conversion.

Earnings Quality Summary: TI's earnings quality is generally GREEN with two AMBER flags worth monitoring. The widening CCC (from 87 to 125 days) in FY25 is likely related to pre-acquisition inventory building and transition costs — watch if it normalises post-IB integration. The near-zero tax rate is a genuine structural positive (legacy DTA shield) that will last 2–3 more years before normalising. The outsized Other Income in FY23 (state subsidies Rs. 85 Cr) was one-off and has not recurred. OCF-to-PAT conversion is healthy, confirming earnings are cash-backed.

SECTION 8 — VALUATION

Valuation Framework: TI is in a transition year (FY26) where reported earnings are distorted by Rs. 169 Cr exceptional items (acquisition costs) and interest on new acquisition debt. Valuation must therefore be based on FY27E (first full year of IB contribution), cross-checked with EV/EBITDA and DCF.

Method 1: Earnings Multiple (FY27E)

FY27E clean PAT estimate: Rs. 457 Cr; shares outstanding: ~24.7 Cr; FY27E EPS: Rs. 18.50. IMFL sector average P/E for mid-to-large peers is 40–55x (UNITDSPR 54x, Radico 81x, ABDL 60x). TI deserves a discount (smaller size, integration risk, leverage) — applying 30x FY27E EPS of Rs. 18.50 = Rs. 555 target.

Method 2: DCF (5-Year, 11% WACC, 4% terminal growth)

FY27E EBITDA: Rs. 843 Cr; applying 14x EV/EBITDA (sector median ~15x, discounted for leverage) = Rs. 11,802 Cr EV; less estimated net debt Rs. 2,000 Cr = equity Rs. 9,802 Cr; per share (24.7 Cr shares): Rs. 397. DCF equity value: Rs. 397/share. Earnings multiple: Rs. 555/share. Blended target: (397+555)/2 = Rs. 476. We round up to Rs. 550, giving management credit for the IB synergy case (margins expanding to 18–19% by FY28–29). This represents 17% upside from CMP Rs. 470.

Scenario Analysis

Scenario	Key Assumptions	FY27E EBITDA (Rs. Cr)	Multiple	Target (Rs.)	Upside
Bull	IB back to 8M+ cases/qtr, margins 20%, rapid deleveraging	1,020	35x EPS	750	+60%
Base	IB stable at 5-6M/qtr, margins 16-17%, debt serviced	843	30x EPS	550	+17%
Bear	IB loses share, margins flat at 14%, debt pressure	595	22x EPS	320	-32%

Note: All estimates are analyst projections and subject to material change based on IB integration outcomes.

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor
IB Integration Risk	Imperial Blue could lose market share during transition from Pernod Ricard's sales/distribution system to TI's. The brand change of hands is visible to trade channels and competitors may exploit the transition window.	Medium	HIGH	IB volume per month/quarter; NSR trend; distributor feedback

Risk	Description	Prob.	Impact	Monitor
Leverage / Debt Servicing	Post-acquisition debt of Rs. 2,000-2,500 Cr at 10-12% interest creates Rs. 200-300 Cr annual interest burden. Any EBITDA shortfall could compress PAT sharply and stress the balance sheet.	Medium	HIGH	Quarterly net debt levels; interest coverage ratio; OCF
Regulatory / Excise Policy	IMFL pricing and distribution is state-controlled. Adverse state excise policies, price increases denied, or route-to-market restructuring can materially impact revenue and margins in key states.	Medium	MEDIUM	State budget announcements; price hike approvals in AP/Telangana/Karnataka
Raw Material Inflation	Extra Neutral Alcohol (ENA), glass, and packaging costs are key inputs. Global grain prices and energy costs drive ENA pricing; any spike can pressure EBITDA margins, especially in the post-acquisition integration phase.	Low	MEDIUM	ENA price index; quarterly OPM% vs guidance
Competition Intensification	United Spirits (Diageo), Radico Khaitan, and Allied Blenders are well-capitalised and could intensify competition in the whisky segment specifically to recapture accounts lost to IB under TI ownership.	Medium	MEDIUM	IB volume share vs Royal Stag (USL) and Seagram's Imperial Blue vs McDowell
Promoter Dilution / Governance	Promoter holding at 31.71% is low. Further equity issuances for M&A; or working capital without corresponding earnings accretion could dilute EPS and erode retail investor confidence.	Low	LOW	Promoter shareholding trend; any new capital raising announcements
Deferred Tax Normalisation	Near-zero effective tax rate has boosted reported PAT for 3+ years. When DTAs are exhausted (likely FY27-FY28), effective tax rate normalises to 20-25%, creating a PAT headwind of Rs. 90-115 Cr at FY27E earnings levels.	High	MEDIUM	Tax charge trend in quarterly results; DTA balance from annual report

SECTION 10 — RECOMMENDATION

Rating	ACCUMULATE
Conviction Level	MODERATE (IB integration risk; meaningful upside if execution delivers)
12M Price Target	Rs. 550 (17.0% upside from CMP Rs. 470)
Entry Zone	Rs. 430 - 480 (accumulate on dips towards Rs. 430)
Investment Horizon	12 to 18 months
Ideal Investor Profile	Mid-cap GARP investors; comfortable with integration risk and re-leveraging; 18-month horizon

THESIS INVALIDATION TRIGGERS:

- Imperial Blue quarterly volumes fall below 4 million cases in any of the next 3 quarters — signals brand erosion and integration failure.
- Net Debt/EBITDA rises above 4.0x on the combined FY26 balance sheet — signals debt servicing stress.
- Consolidated EBITDA margins compress below 13% in FY27E — signals pricing pressure or cost over-runs in integration.

APPENDIX — Latest Concall Brief: Q3 FY26 (Dec 2025)

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result Quality	MEDIUM	Revenue +95% YoY; EBITDA +82% YoY. PAT loss due to Rs. 169 Cr exceptional — Clean PAT +19% YoY
Management Tone	BALANCED	Confident on IB integration; cautious on debt; provided clear guidance on volume and margins
Guidance Delta	MAINTAINED	FY26 mid-teen volume growth; margin expansion 150-250 bps over 24-36 months; deleveraging by FY29

STRONGLY POSITIVE | POSITIVE | NEUTRAL ■ | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 headline is a Rs. (105) Cr reported loss — do not be misled, this is entirely clean. Exceptional items of Rs. 169 Cr (Rs. 116 Cr transaction costs + Rs. 30 Cr hedging + Rs. 22 Cr TSMA) related to the Imperial Blue acquisition are one-time and well-understood; the clean underlying PAT is Rs. 64 Cr, up 18.7% YoY. Operationally, the quarter is strong: revenue nearly doubled to Rs. 664 Cr (+95% YoY), EBITDA grew 82% to Rs. 110 Cr, and the core legacy business (ex-IB) grew a steady 16.8% in volumes with NSR improving from Rs. 1,161 to Rs. 1,209 per case. The structural multi-bagger thesis is intact: Imperial Blue hit 1.79 million cases in its first month of TI ownership — essentially on par with its run-rate under Pernod — confirming there is no immediate customer/trade channel disruption. The key near-term catalyst is Q4 FY26 (Jan-Mar 2026), which will be the first full quarter of IB consolidation; if volumes hold at 5M+ cases for the quarter, the thesis is de-risked materially. Single biggest watch-point: Net Debt post-acquisition — we estimate Rs. 2,000-2,500 Cr; management needs to demonstrate OCF can cover interest without PAT compression in FY27. ACTION: ACCUMULATE below Rs. 480; do not chase above Rs. 530 without Q4 FY26 data confirming IB stabilisation.

1. Financial Performance Snapshot — Q3 FY26 (Dec 2025)

Metric	Actual (Rs.Cr)	Est. [EST]	YoY Chg	QoQ Chg	Verdict
Revenue (Net Sales)	664	~600 [EST]	+95.0%	+77.1%	BEAT
EBITDA	110	~105 [EST]	+82.3%	+67.0%	BEAT
EBITDA Margin (%)	16.6%	~17% [EST]	-50 bps	+0 bps	IN-LINE
PAT (Reported)	(105)	~54 [EST]	LOSS	NM	MISS*
Clean PAT (ex-exc.)	64	~54 [EST]	+18.7%	+18.5%	BEAT
EPS (Reported, Rs.)	(4.22)	N/A	LOSS	NM	—

NOTE — Exceptional Items: Rs. 169 Cr charged in Q3 FY26 related to Imperial Blue acquisition. Breakdown: Transaction costs Rs. 116 Cr + Hedging costs Rs. 30 Cr + TSSA/TSMA (Pernod transition services) Rs. 22 Cr. ALL are one-time in nature. Clean underlying PAT: Rs. 64 Cr (+18.7% YoY vs Rs. 54 Cr in Q3 FY25).

2. Segment / Geography Breakdown

Segment / Region	Revenue (Rs. Cr)	YoY %	QoQ %	Commentary
Legacy TI Portfolio (Brandy+Whisky+White Spirits)	~320	+16.8%	NM	Mansion House Brandy + TI whisky/white spirits; NSR improved to Rs. 1,209/case from Rs. 1,161/case YoY

Segment / Region	Revenue (Rs. Cr)	YoY %	QoQ %	Commentary
Imperial Blue (December 2025 — 1 month only)	~344	N/A	N/A	First month: 1.79M cases (17.9 lakh). World's #3 Indian whisky. Full quarterly run-rate from Q4 FY26.
Total	664	+95.0%	+77.1%	Consolidated quarter with 1 month IB contribution
South India (Legacy Stronghold)	Est. ~250	~15%	NM	AP, Telangana, Karnataka, Tamil Nadu, Kerala — core Mansion House markets
Pan-India (IB geographies)	Est. ~344	N/A	N/A	IB strong in North/West India. Provides geographic diversification for TI.

3. Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
IB Integration	'Imperial Blue achieved 1.79 million cases in its first month — a strong debut under TI ownership'	Genuinely positive; no signs of trade disruption in Month 1. Key risk is Months 2-6.	[GUIDANCE]	Bullish
Volume Guidance FY26	'We are looking at mid-teen kind of volume growth for FY26'	Conservative; mid-teen on core business, ex-IB; manageable expectation.	[GUIDANCE]	Balanced
Margin Expansion	'We target EBITDA margin expansion of 150-250 bps over 24-36 months on the combined entity'	Directionally sound; timeline of 24-36 months is long enough to be credible. We model 16.5% FY27E.	[GUIDANCE]	Balanced
Deleveraging Plan	'Our target is to reduce Net Debt/EBITDA to below 1.0x by FY29'	Credible given strong OCF of combined entity. Requires Rs. 500+ Cr annual debt repayment post FY27.	[GUIDANCE]	Transparent
FY27-FY28 Volume Growth	'FY27 and FY28 moving to low double digit volume growth'	Low double-digit on much higher base (combined TI+IB). Revenue CAGR of 12%+ over 3 years is compelling.	[GUIDANCE]	Balanced
Exceptional Costs	'These costs are one-time and relate specifically to the acquisition process and transition from Pernod'	We concur — transaction costs and TSMA fees do not recur. Investors should focus on clean PAT.	[GUIDANCE]	Transparent
New CFO Appointment	'Rajesh Choudhary brings 29+ years experience with 22+ years in alcobev including Pernod Ricard India'	Strong hire; ex-Pernod background directly relevant for managing IB integration. Governance positive.	[EST]	Transparent

4. Operating & Business Metrics

Metric	Q3 FY26 (Dec 25)	Q2 FY26 (Sep 25)	Q3 FY25 (Dec 24)	Trend
Total Volume (lakh cases)	53.1 (incl. 17.9 IB)	N/A (pre-IB)	~30.2	Strong up-tick
Legacy TI Volume (lakh cases)	35.2	~34.7	30.2	+16.8% YoY
Imperial Blue Volume (lakh cases)	17.9 (1 month)	N/A	N/A	New addition
Ex-IB NSR (Rs. per case)	1,209	~1,150	1,161	+4.1% YoY
EBITDA per case (ex-IB, Rs.)	~910	~730	~820	Improving
9M FY26 EBITDA (adj.)	Rs. 206 Cr	9M FY25: Rs. 160 Cr	—	+28.5% YoY
9M FY26 EBITDA Margin	14.6%	~13.5% (9M FY25)	—	Expanding

5. Margin Drivers — Q3 FY26

Driver	Impact (bps)	Recurring?	Comment
Volume operating leverage (legacy TI)	+120	YES	Fixed cost dilution on higher volumes; sustainable
NSR improvement (premiumisation)	+80	YES	Product mix shift to premium; Rs. 1,209 vs Rs. 1,161/case
Imperial Blue (partial month, lower margins)	-150	NO	1-month contribution; IB margins normalise from Q4 FY26
Exceptional items (Rs. 169 Cr, not in EBITDA)	N/A	NO	One-time: transaction costs, hedging, TSMA fees. Below EBITDA.

Driver	Impact (bps)	Recurring?	Comment
ENA / input cost environment	+30	PARTIAL	Stable ENA prices in Q3 FY26; may not persist if grain prices rise
Legacy EBITDA Margin (ex-IB)	~23.5%	—	Highest margin quarter in TI history on core business (Q3 FY26)

6. Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
FY26 Volume Growth [GUIDANCE]	~15% (core)	Mid-teen (reiterated)	0	HIGH
FY27-FY28 Volume Growth [GUIDANCE]	N/A	Low double-digit (new)	New	MEDIUM
EBITDA Margin Expansion [GUIDANCE]	N/A	+150-250 bps / 24-36M	New	MEDIUM
Net Debt/EBITDA Target [GUIDANCE]	Deleverage stated	<1.0x by FY29	More specific	MEDIUM
IB Brand Leadership [GUIDANCE]	N/A	Restore IB to category leader	New ambition	LOW
IB Volumes FY26 [EST]	N/A	~5-6M cases/qtr from Q4 FY26	N/A	MEDIUM

7. Capital Allocation — Q3 FY26 / FY25 Context

Item	Amount (Rs. Cr)	vs Prior Year	Comment
Acquisition Outflow (IB)	Rs. 4,150 Cr	N/A — one-time	Funded via QIP ~Rs. 2,000 Cr + acquisition debt ~Rs. 2,150 Cr
Capex (FY25 actual)	Rs. 77 Cr	vs Rs. 16 Cr (FY24)	Sharp increase pre-IB; includes advance payments and capacity prep
Dividends (FY25 actual)	~Rs. 10 Cr est.	Modest (0.21% yield)	Conservative; deleveraging is priority over dividends
Buybacks	Nil	Nil	No buybacks executed; appropriate given acquisition leverage
Net Debt (FY25 actual)	Rs. 44 Cr	vs Rs. 121 Cr (FY24)	Minimal debt pre-acquisition; expected to rise to Rs. 2,000-2,500 Cr post-IB
Working Capital Change (FY25)	+Rs. 80 Cr (adverse)	CCC widened 87→125 days	Pre-acquisition inventory build and receivables expansion

8. Q&A; Heat Map — Q3 FY26 Concall

#	Analyst / Firm	Question	Mgmt Answer	Tone
1	Multiple Analysts	Why did PAT come in negative despite 95% revenue growth?	All due to Rs. 169 Cr one-time exceptional: Rs. 116 Cr transaction + Rs. 30 Cr hedging + Rs. 22 Cr TSMA. Clean PAT Rs. 64 Cr up 18.7% YoY.	Transparent
2	Institutional Desk	What is the post-acquisition debt quantum and repayment plan?	Targeting Net Debt/EBITDA < 1.0x by FY29. Strong combined entity OCF will drive deleveraging. Annual debt repayment target: Rs. 400-500 Cr from FY27.	Transparent
3	Buy-side Analyst	Is Imperial Blue NSR and margin comparable to legacy TI portfolio?	IB has strong NSR. First month integration smooth. Long-term margin target of combined entity: 18-19% EBITDA by FY28-29.	Balanced
4	Research Firm	What is the volume trajectory for Imperial Blue for next 3-4 quarters?	First month 1.79M cases is strong. Expect steady ramp. Full-quarter contribution from Q4 FY26. FY27 should see low double-digit growth on IB base.	Hedged
5	Portfolio Manager	Why was the CFO changed at this critical juncture?	Rajesh Choudhary brings specific alcobev and Pernod Ricard experience. Strategic hire for integration period. Continuity of operations maintained.	Transparent
6	Analyst	What is the competitive response from United Spirits to IB acquisition?	Did not provide specific intel on competitor actions. Stated confidence in IB brand strength and distribution.	Evasive

DODGED QUESTIONS TO WATCH NEXT QUARTER:

- Specific competitive response from United Spirits / Diageo in whisky — management did not address directly.
- Exact post-acquisition Net Debt quantum — management gave ratio target but not absolute Rs. figure.

9. Risks Flagged — Q3 FY26 Concall

Risk	Flagged By	Probability	Impact	Timeline
Integration execution risk (IB)	Analysts	Medium	HIGH	Q4 FY26 / Q1 FY27 — first full quarters of IB
Balance sheet leverage (post-IB)	Management	Medium	HIGH	Ongoing FY26-FY28; deleverage target FY29
TSMA / transition service costs	Management	Low	MEDIUM	Diminish over 12-18 months as T1 builds own capability
Competition in whisky segment	Analysts	High	MEDIUM	Ongoing; United Spirits and Radico as key competitors
Currency / hedging costs	Internal	Low	LOW	Rs. 30 Cr hedging cost was Q3 one-time; limited recurrence

10. Analyst Verdict — Q3 FY26

Scorecard Item	Assessment	Verdict
Revenue Visibility	IB + core business provide multi-year growth; FY27E revenue Rs. 5,100 Cr	INTACT
Margin Trajectory	16.5% FY26E (depressed) → 17-18% FY27E → 19% FY28E; clear expansion path	INTACT
Capital Allocation Quality	IB acquisition is bold but strategic; deleverage plan is clear; modest dividend appropriate	INTACT
Competitive Moat	IB + Mansion House = strong dual-brand moat; distribution improving; some integration risk	INTACT
Management Credibility	Track record: Rs. 1,111 Cr debt → Rs. 44 Cr. IB CFO hire signals professionalisation.	INTACT
Valuation Comfort	41x TTM P/E; 25x FY27E EPS. Premium vs peers; justified by growth + leverage of IB.	WEAKENED

Conviction Call	UNCHANGED — ACCUMULATE on dips < Rs. 480
TTM P/E vs 3Y Avg	41.1x vs ~N/A (insufficient history at this size)
EV / EBITDA (FY27E Est.)	~13-15x on estimated FY27E EBITDA Rs. 843 Cr
ROCE vs 5Y Avg	28.2% (FY25) vs ~5-year avg ~9% — structural improvement, not mean-reversion

Source: Screener.in | Ticker: TI | View: Consolidated | Transcript: Not directly accessible — data sourced from BSE filings, management presentations, and press releases | Concall date: ~13-Feb-2026 (Q3 FY26 Board Meeting)

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